
The logo for accelare, featuring the word "accelare" in a bold, black, sans-serif font. To the right of the text is a green swoosh that starts under the 'a' and curves upwards and to the right, ending under the 'e'.

accelare

Putting Business Capabilities to Work

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VP/ Business & Technology Strategy

BBC
Las Vegas
November 13, 2013

Who is Accelare?



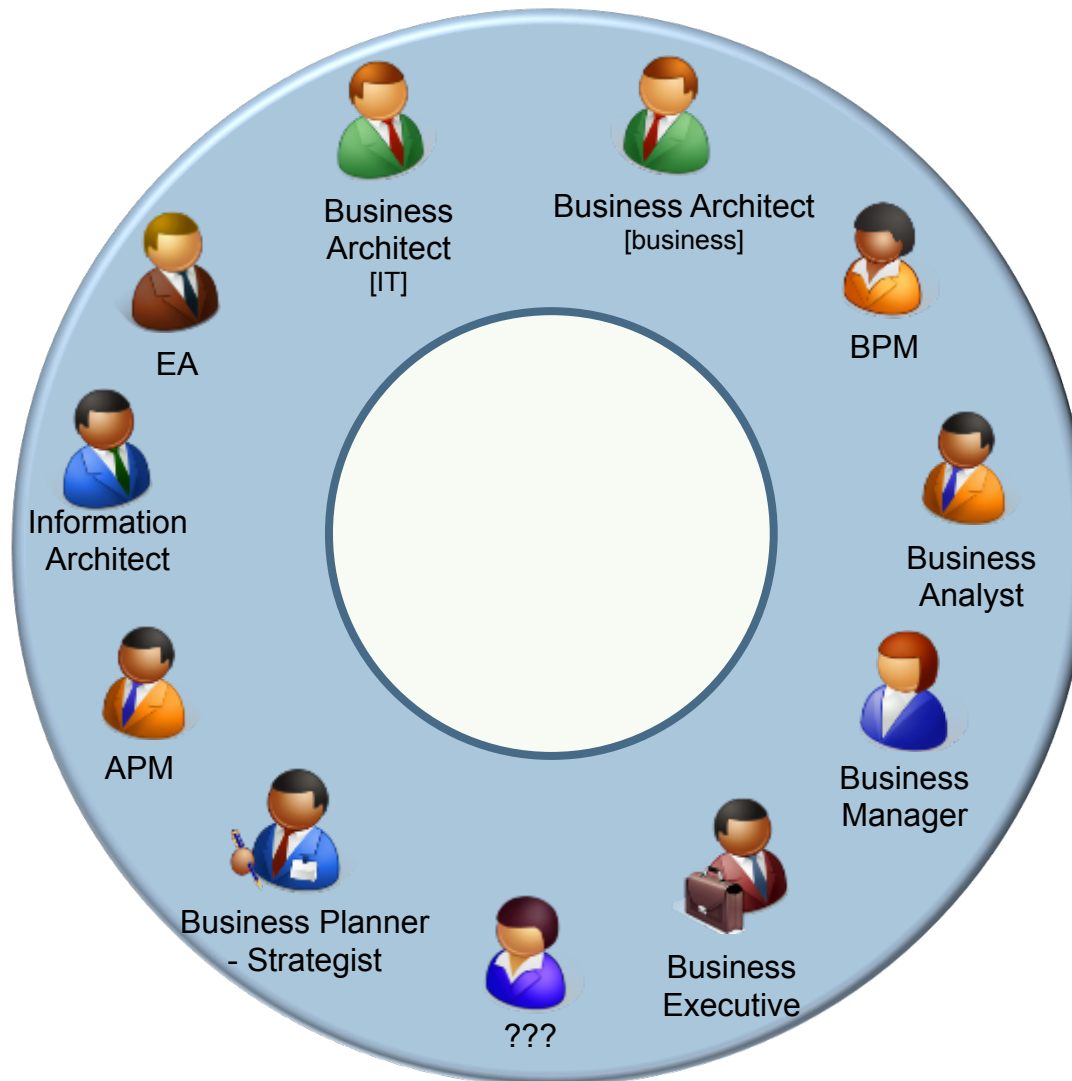
Experts in strategy
execution and capability
management

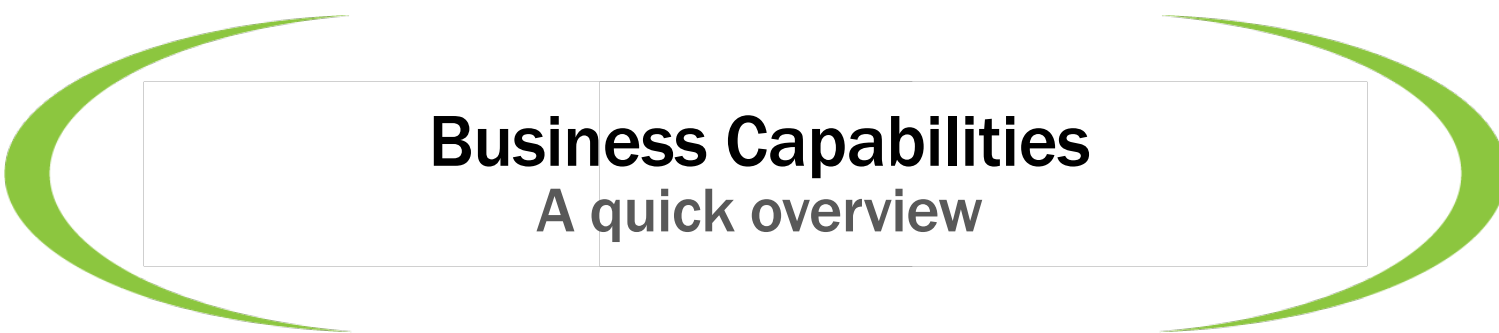


Business Architect
Advocate

- **Writer:**
 - Currently publish the blog: The Business Architect
 - Have written over 50 research reports and articles for Forrester Research, Cutter Consortium and others
- **Speaker:**
 - Regularly speak at industry conferences, universities, user groups, and companies on the topics of strategy management, business architecture, and organizational innovation
- **Consultant & Mentor:**
 - Work with a small number of business leaders and business architects to facilitate their growth and success

Who are you?





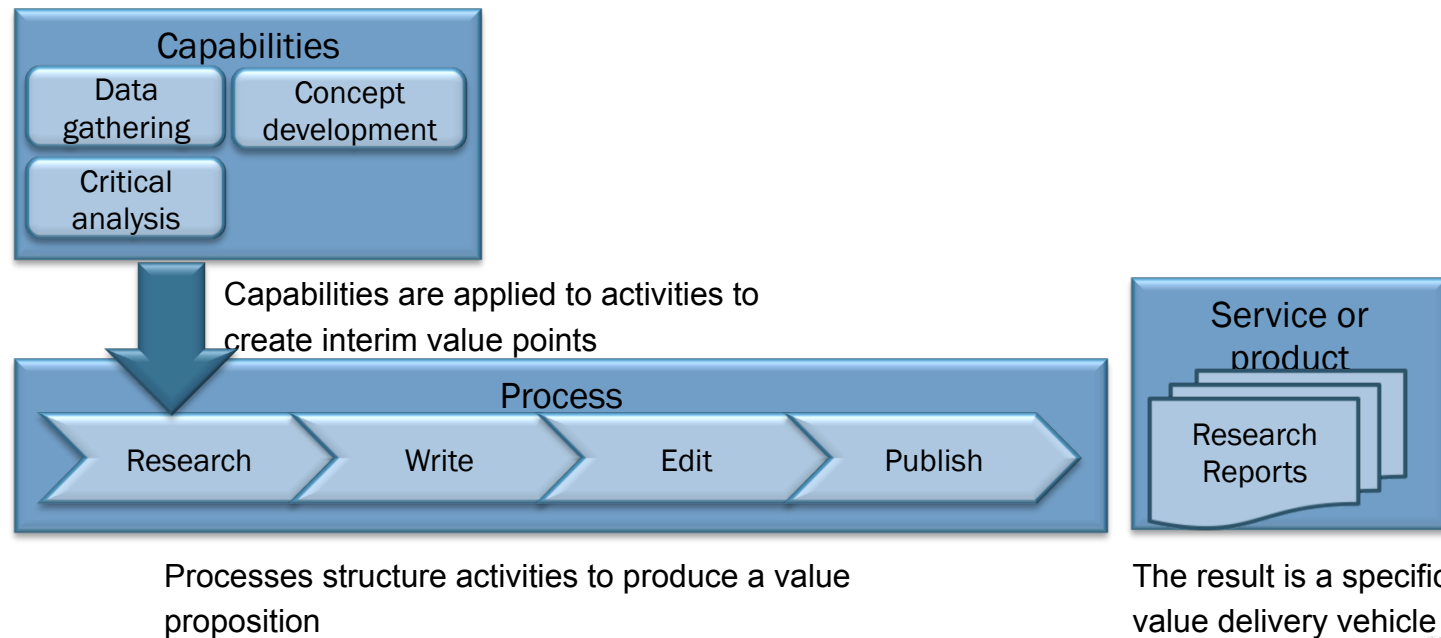
Business Capabilities

A quick overview

Business capability defined

Business capability definition (one of many)

- A business capability (or simply capability) describes a unique, collective ability that can be applied to achieve a specific outcome. A capability model describes the complete set of capabilities an organization requires to execute its business model or fulfill its mission. An easy way to grasp the concept is to think about capabilities as organizational level skills imbedded in people, process, and/or technology.



Capabilities link strategy to action

Capabilities:

- Define what an organization must be able to do to successfully execute its business model
- Provide a common language for change
- Create a common link between executive intent and operational activities
- Provide a foundation for assessment and prioritization



Capability attributes

- **Each capability is unique.** A capability is a fundamental element of the organization and as such is clearly different from other capabilities. A capability might be applied throughout the organization and can be applied in different ways to affect different outcomes but it is still a single capability.
- **Capabilities are stable.** Well-defined capabilities rarely change. They provide a much more stable view of organizations than do projects, processes, applications, or even strategies. Capabilities only change when there is a significant shift in the underlying business model or mission which might occur through a business transformation initiative or in conjunction with a new merger or acquisition. This stability is a major part of their appeal.
- **Capabilities are abstracted from the organizational model.** Capability models are not just a simple restatement of the enterprise's organizational model. They are organizationally neutral which means that changes in the organizational structure don't require a change in the capability model. In simple organizations, the capability model may indeed look similar to the corporate organizational structure; however, in more-complex organizations capabilities both common to and unique to organizational units are found.

Capability attributes

- **Capabilities can be defined for any organizational unit.** Though most architects think of capabilities at the enterprise level, every organization, large or small, has a set of capabilities it applies to fulfill its mission. Since capabilities represent the organization's leader's interest, each organization will have a unique set of capabilities not seen in the rest of the organization. Therefore, each organization will have a unique capability map.
- **Individual capabilities do not have a purpose.** Since capabilities represent what an organization can do and not what it actually does they can be viewed as potential. This means capabilities can be applied in multiple ways, for different purposes. This also means they must be assessed in terms of their application - measured on a fit-for-purpose scale not a maturity scale.

Capability corollaries

- **First and foremost capabilities capture the organization's interest.** The primary value in defining capabilities lies in their ability to create new insight and perspective for business leaders. To accomplish this, capabilities must be defined in a way that resonates with business executives' thought process. Creating meaning is the goal. Coherence and completeness are not as important as resonating with business thinking.
- **Capability models are not hierarchical.** Though capabilities can often be decomposed into lower level capabilities the model is not entirely hierarchical. A lower level organization's capability model cannot be derived from the higher level model. Since capabilities represent the organization's leader's interest, each organization typically has a unique set of capabilities not seen in other organizational units as well as a set that is common with other organizations. Therefore, each organization within a single company typically has a unique capability map.



Putting capability models to work

Capability models facilitate strategic decisions

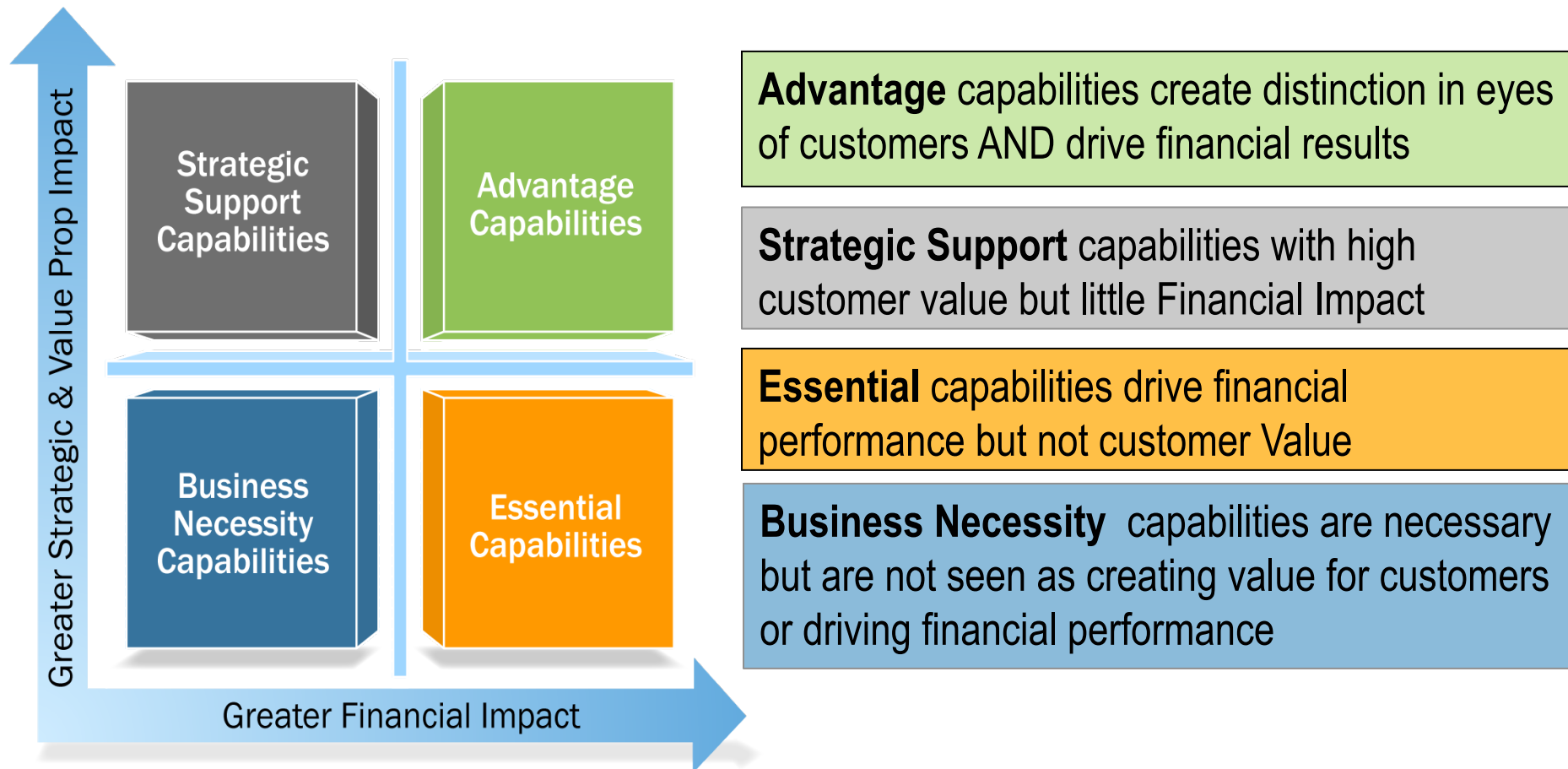
- Which are our strongest and weakest capabilities?
- Which capabilities provide strategic differentiation?
- Which capabilities can be leveraged in new markets?
- Where should we invest our resources?
- Where can technology add more strategic value?
- Where can technology be used to lower cost?

Capability models facilitate operational efficiencies

- Where do we have multiple processes and technologies supporting one capability?
- Which capabilities are costing too much to support?
- Which capabilities should we outsource?
- Where do we need more employee education?
- Where do we need process improvement?

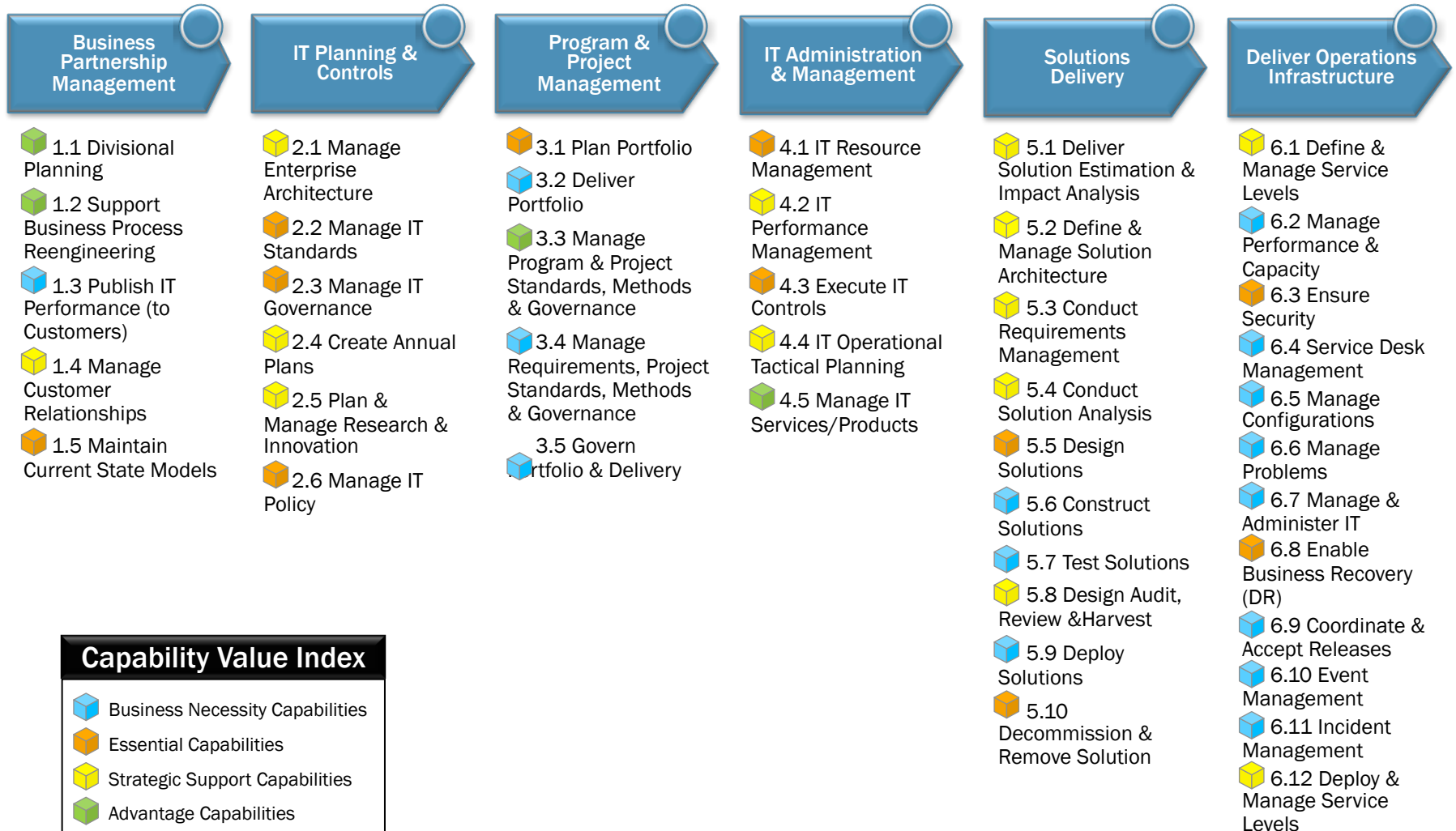
Assess capabilities on value first

Capabilities are not all equal in their **VALUE** to the customer and/or financial performance



Capability assessment - IT Inc.

UNDERSTAND EACH CAPABILITY'S VALUE CONTRIBUTION

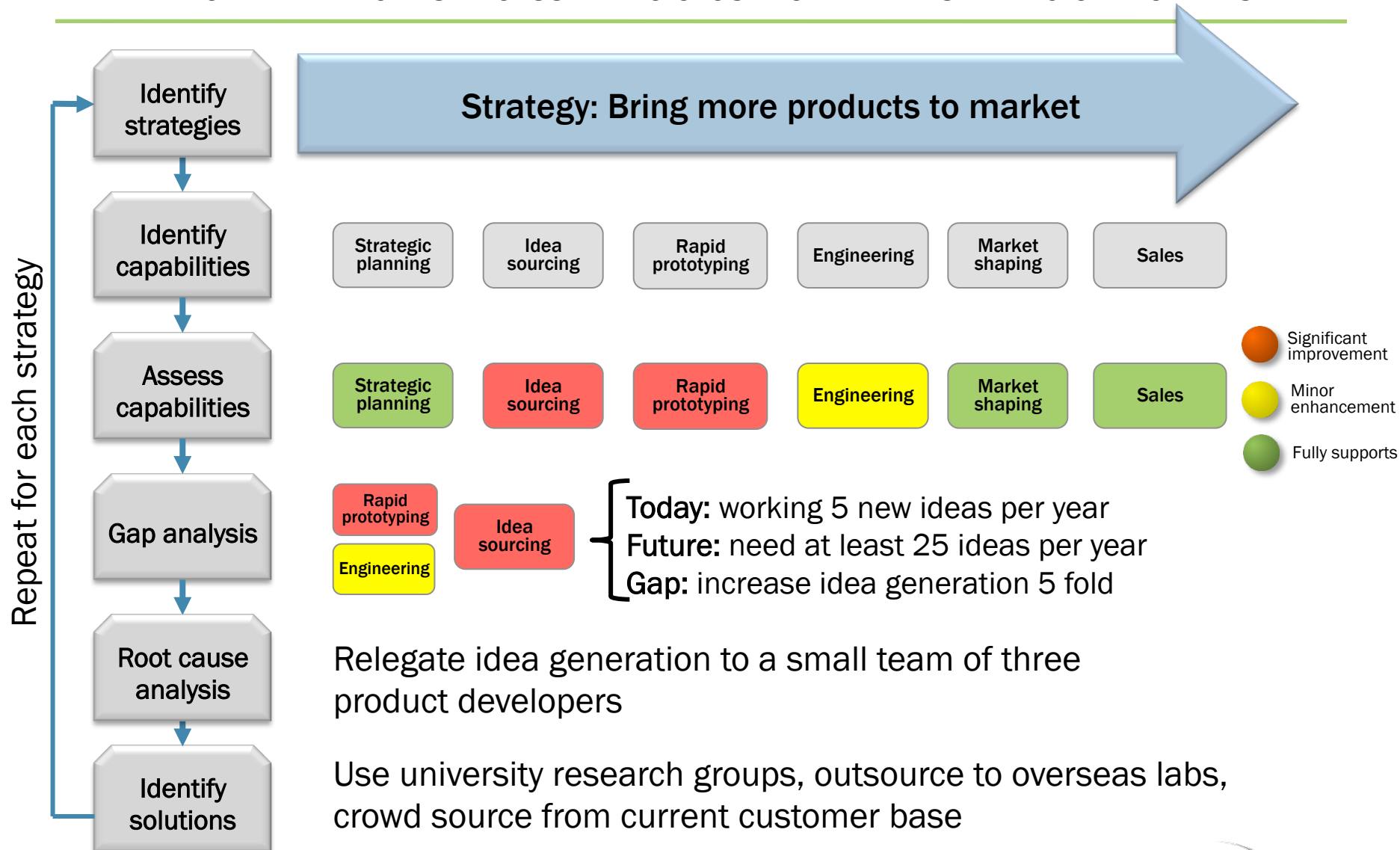




Applying capability models

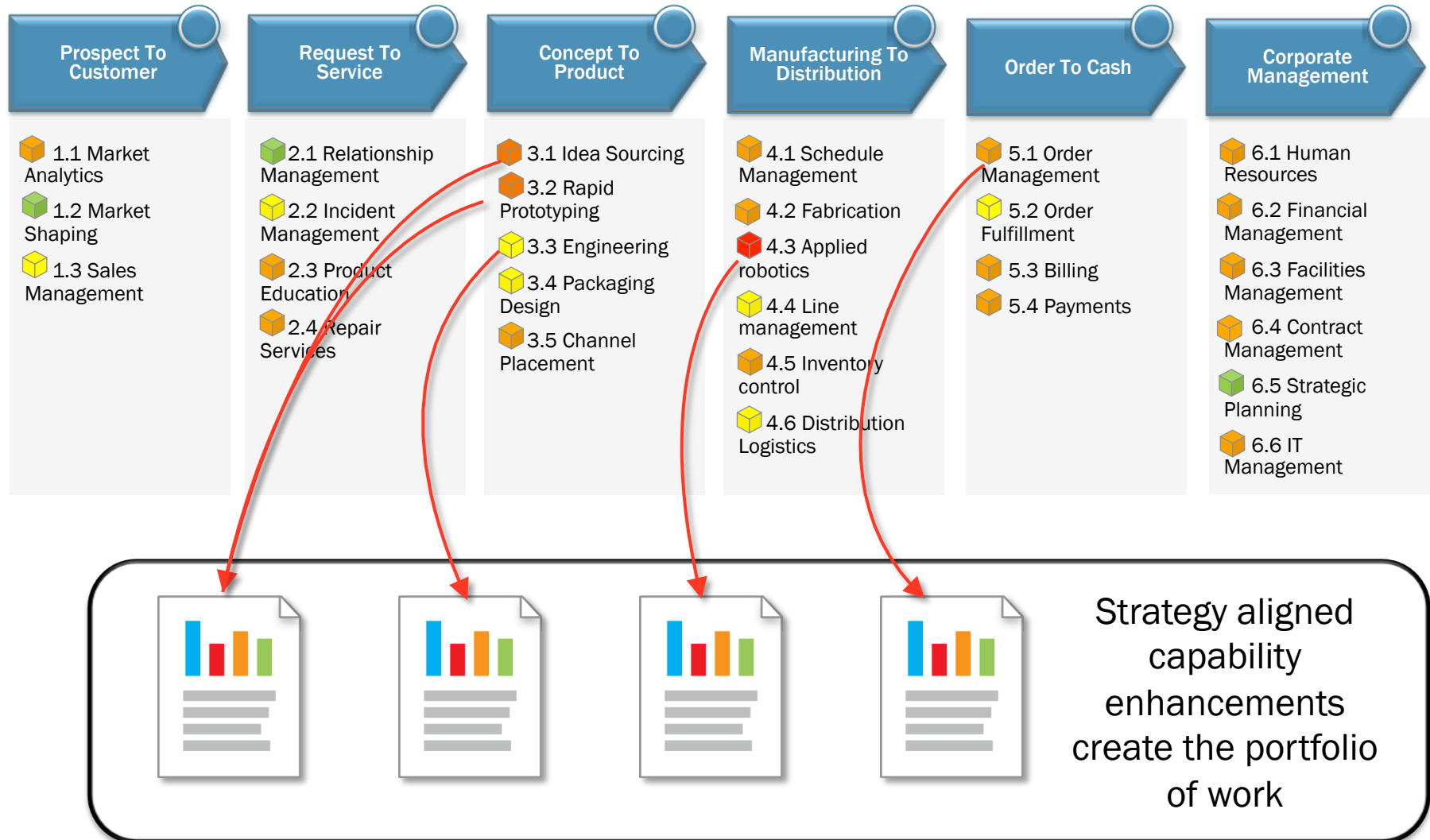
Example 1: Build the strategic portfolio of work

IDENTIFY CAPABILITY GAPS NECESSARY TO CLOSE TO REALIZE STRATEGIC PRIORITIES



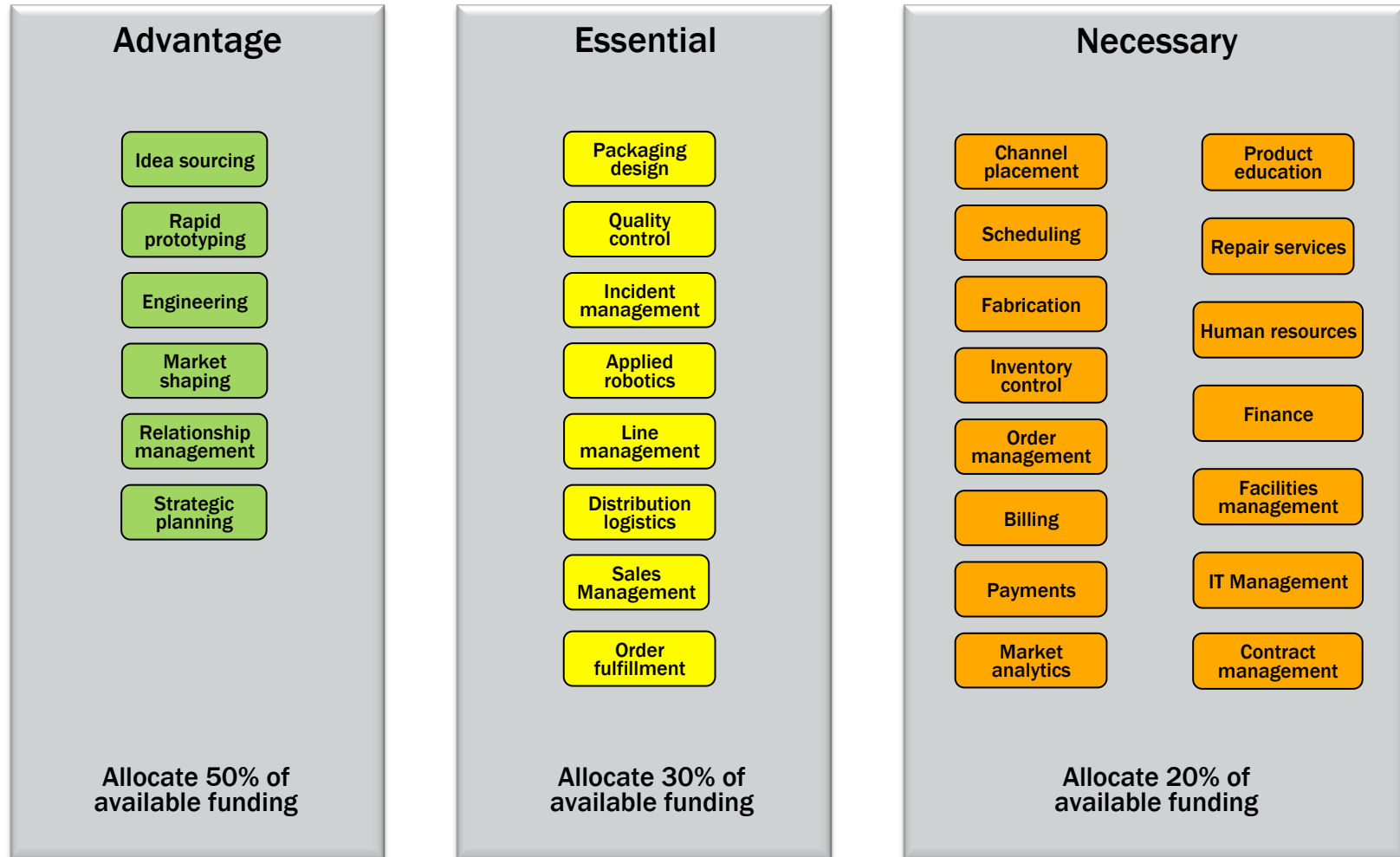
Example 1: Build the strategic portfolio of work

CONSTRUCT THE STRATEGIC PORTFOLIO OF CAPABILITY ENHANCING WORK



Example 2: Build a project funding filter

CREATE FUNDING POOLS BASED ON CAPABILITY CONTRIBUTION

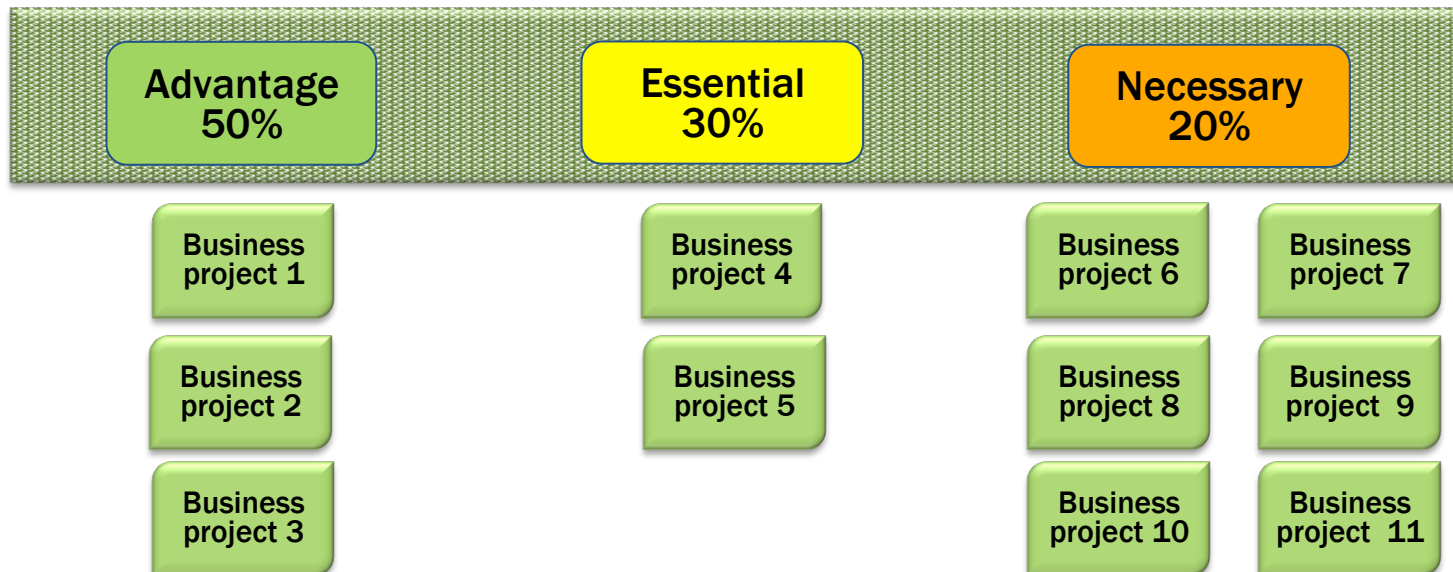


Example 2: Build a project funding filter

USE FUNDING POOLS AS THE FIRST LEVEL PROJECT FILTER



Project Requests





TSA PRE

Premier Access

H1DS9Z 11F 7
UA 2227

WALLK/JEFFREY

UA-*****811, Premier Silver, UA*S

Chicago-OHare to Charleston, SC

UA 2227

GATE

BOARDING BEGINS

SEAT

ORD-CHS

Not Yet
Assigned

8:25 AM

11F

BOARDING
GROUP
2

Monday, December 17, 2018

Boarding ends: 8:45 AM
Flight departs: 9:00 AM
Flight arrives: 12:18 PMWindow
Economy Plus

Added to Upgrade Standby List

Confirmation: H1DS9Z

Ticket: 01624291290554

A STAR ALLIANCE MEMBER

United Club locations at Chicago OHare

We encourage eligible customers at Chicago OHare to visit our United Club locations near Gates B6 and B18, as these lounges have more available seating than our location near Gate C16.

Agent assistance at Chicago OHare

We no longer offer agent assistance in Terminal 2 at Chicago OHare. If you need to check your bag or require any other help from a United representative, please go to Terminal 1.

Bag check must be completed no later than 45 minutes before departure. You must be at the boarding gate at least 15 minutes prior to departure. Failure to be at the boarding gate by the required time could result in the loss of your seat without compensation, regardless of whether you are already checked in or have a confirmed seat. Refer to United's Contract of Carriage at united.com for more information about United's terms and conditions.

REWARDED



Get REWARDED here, there, everywhere

Free checked bag¹ | Priority boarding | 25% back on United® inflight purchases² | Earn miles on every purchaseGet the UnitedSM Explorer Card.UnitedExplorerCard.com

¹FREE CHECKED BAG: Free bag is for first standard checked bag for the primary Cardmember and one companion traveling on the same reservation.

²Get 25% back as a statement credit on purchases of food, beverages and Wi-Fi onboard United-operated flights when you pay with your Explorer Card.

Accounts subject to credit approval. Restrictions and limitations apply. United MileagePlus® credit cards are issued by Chase Bank USA, N.A. Offer subject to change. See UnitedExplorerCard.com for pricing and rewards details.

MileagePlus: Miles accrued, awards and benefits issued are subject to the rules of the United MileagePlus program. For details, see united.com.

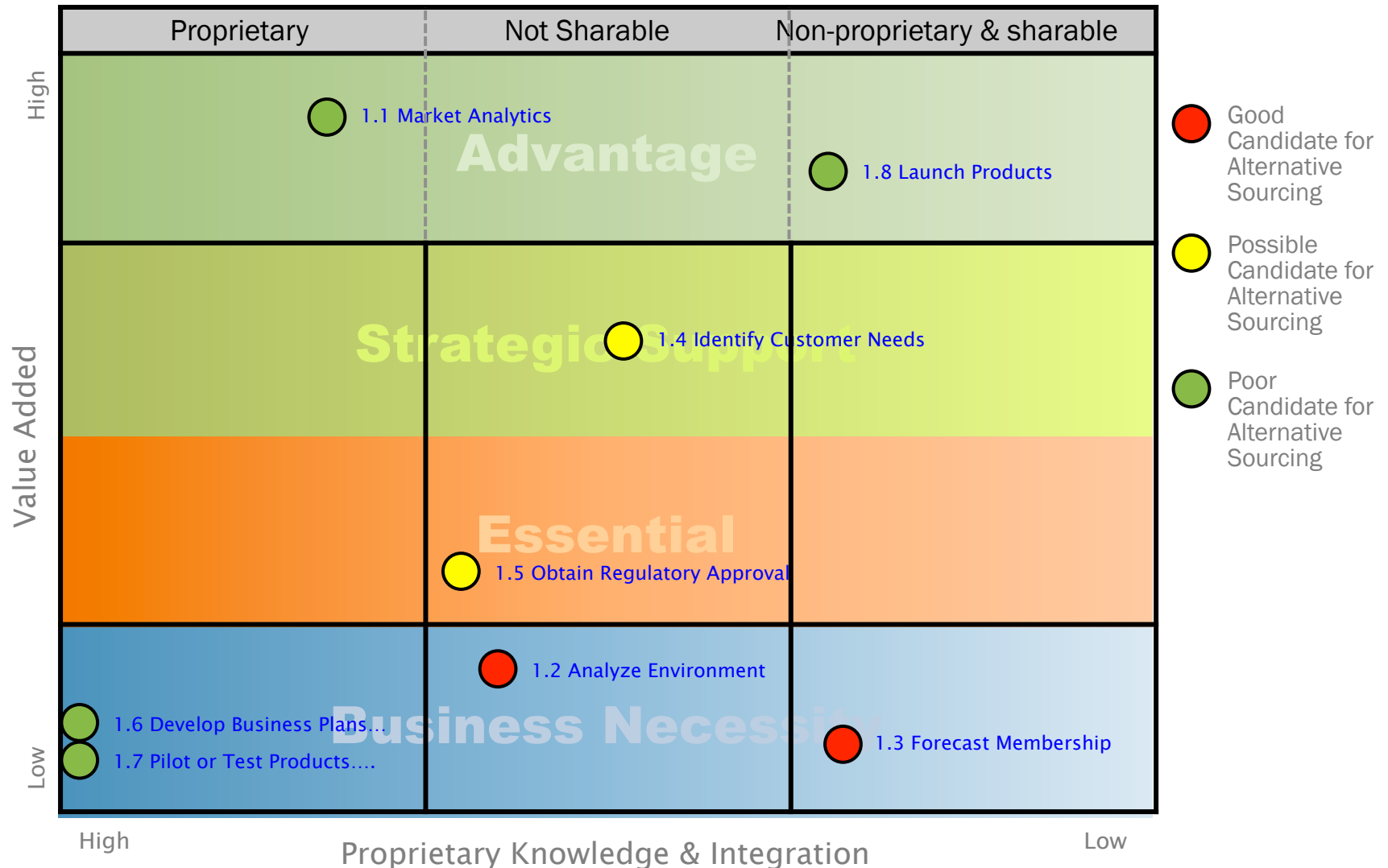
Example 3: Create a strategic sourcing map

ASSESS CAPABILITIES FOR PROPRIETARY KNOWLEDGE AND LEVEL OF INTEGRATION

Value Contribution	Knowledge & Integration		
	Proprietary	Not Readily Sharable	Not Proprietary AND Readily Sharable
Advantage Capabilities	<u>Retain</u> Develop/build the best internal capability possible		
Strategic Support Capabilities	<u>Retain</u> Develop/build the best internal capability possible	<u>Remove Obstacles</u> Aggressively remove obstacles and then source for effectiveness	<u>Strategically Source</u> Develop ongoing, long term partnerships with the best capability available
Essential Capabilities			
Business Necessity Capabilities	<u>Retain & Maintain</u> Manage internal capability to meet cost and quality standards	<u>Remove Obstacles</u> Aggressively remove obstacles and then source for efficiency	<u>Source</u> Access the most efficient external vendor and monitor for quality compliance

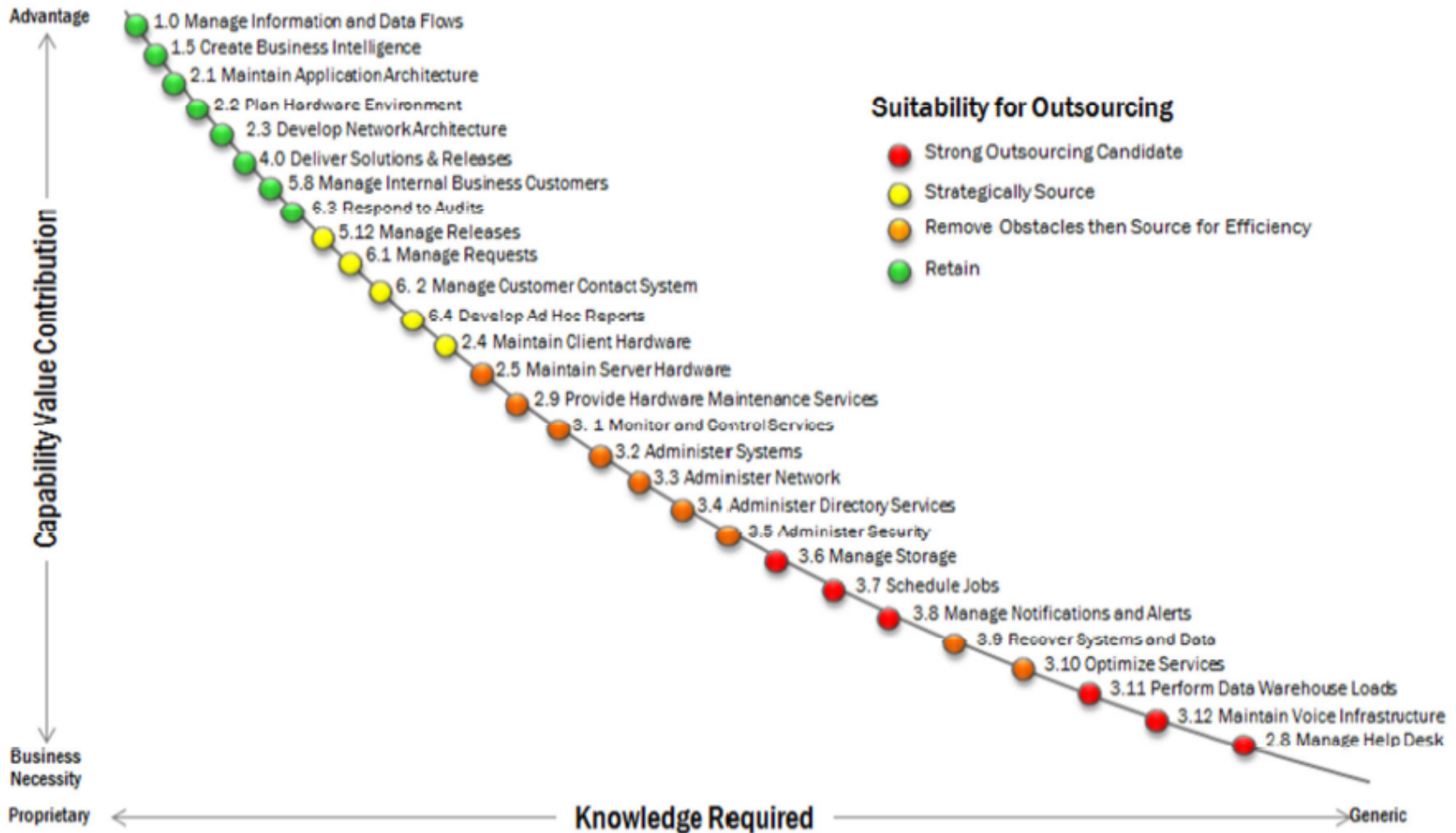
Example 3: Create a strategic sourcing canvas

USE VALUE CONTRIBUTION AND PROPRIETARY KNOWLEDGE TO MAP SOURCING OPTIONS



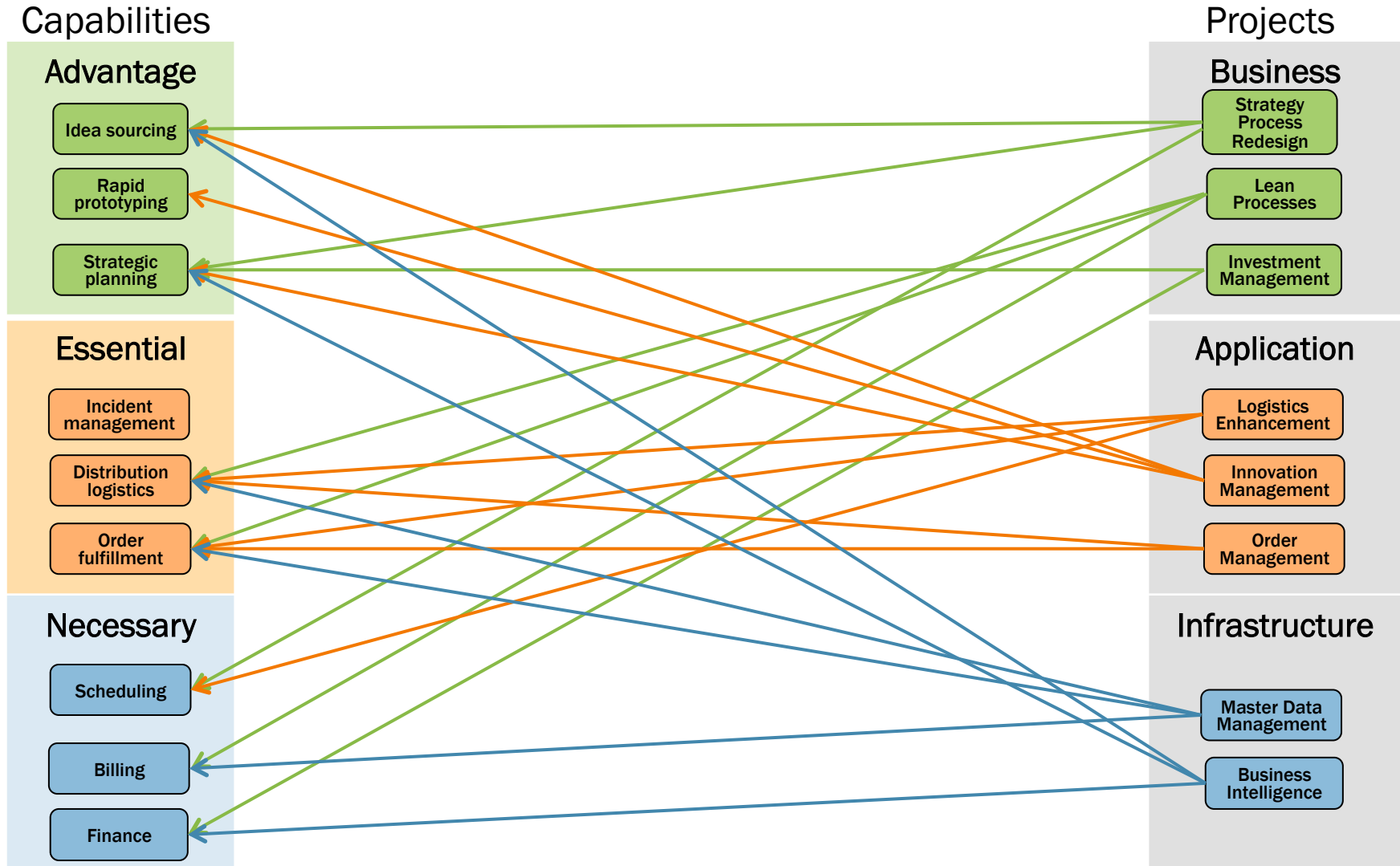
Example 3: Create a strategic sourcing map

USE VALUE CONTRIBUTION AND PROPRIETARY KNOWLEDGE TO PRIORITIZE SOURCING OPTIONS



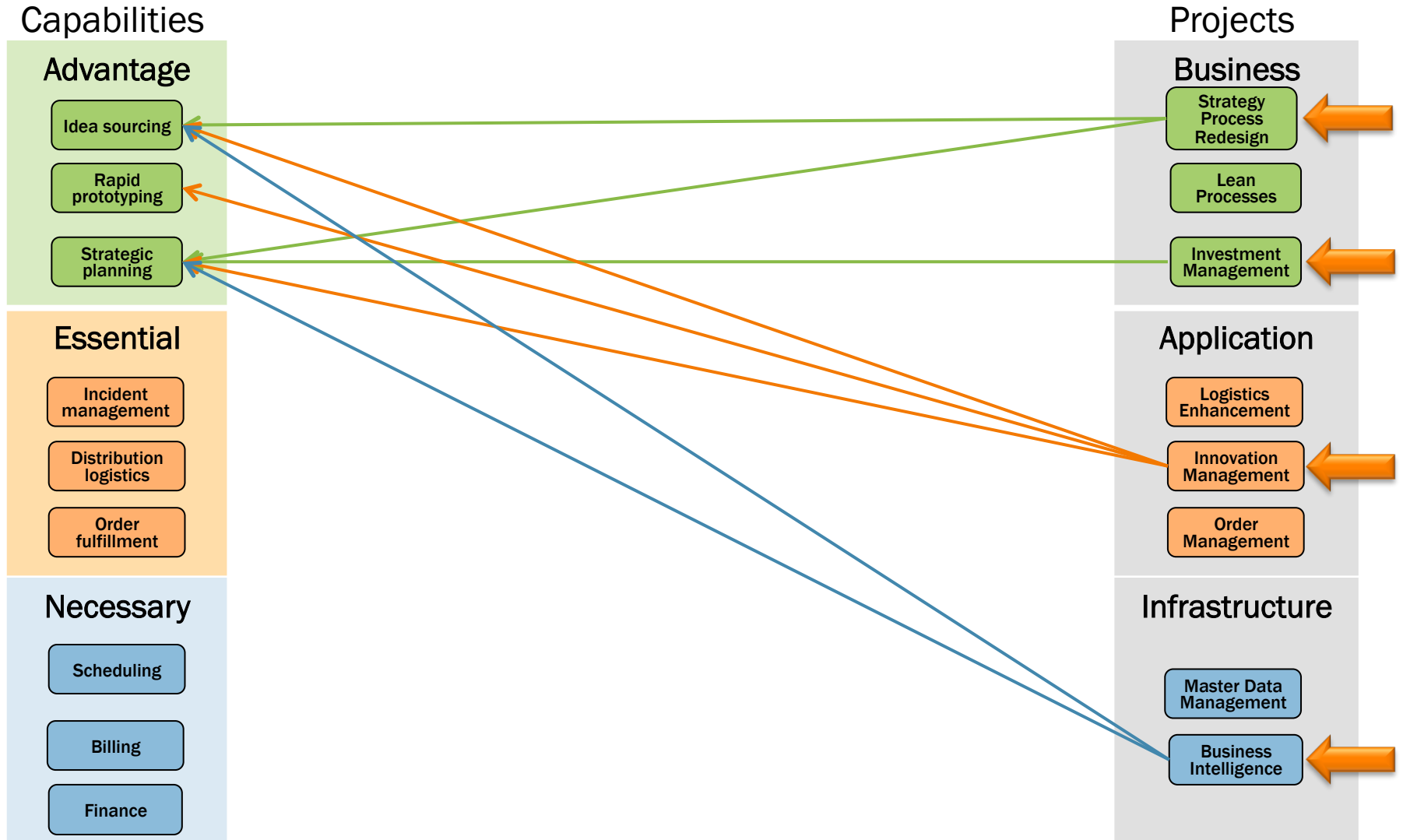
Example 4: Project portfolio assessment

MAP PROJECTS TO THE CAPABILITIES THEY AFFECT



Example 4a: Project portfolio assessment

IDENTIFY THE MOST IMPORTANT PROJECTS



Example 4b: Project portfolio assessment

IDENTIFY THE LEAST IMPORTANT PROJECTS

Capabilities

Advantage

Idea sourcing

Rapid
prototyping

Strategic
planning

Essential

Incident
management

Distribution
logistics

Order
fulfillment

Necessary

Scheduling

Billing

Finance

Projects

Business

Strategy
Process
Redesign

Lean
Processes

Investment
Management

Application

Logistics
Enhancement

Innovation
Management

Order
Management

Infrastructure

Master Data
Management

Business
Intelligence

Example 4c: Project portfolio assessment

IDENTIFY PROJECT EFFECTIVENESS AND EFFICIENCY

Capabilities

Advantage

Idea sourcing

Rapid
prototyping

Strategic
planning

Essential

Incident
management

Distribution
logistics

Order
fulfillment

Necessary

Scheduling

Billing

Finance

- Are all of these projects necessary?
- Do any of these projects overlap?
- Are these projects synergistic?
- Are we creating resource collisions?
- How much money are we spending overall for this capability?

Projects

Business

Strategy
Process
Redesign

Lean
Processes

Investment
Management

Application

Logistics
Enhancement

Innovation
Management

Order
Management

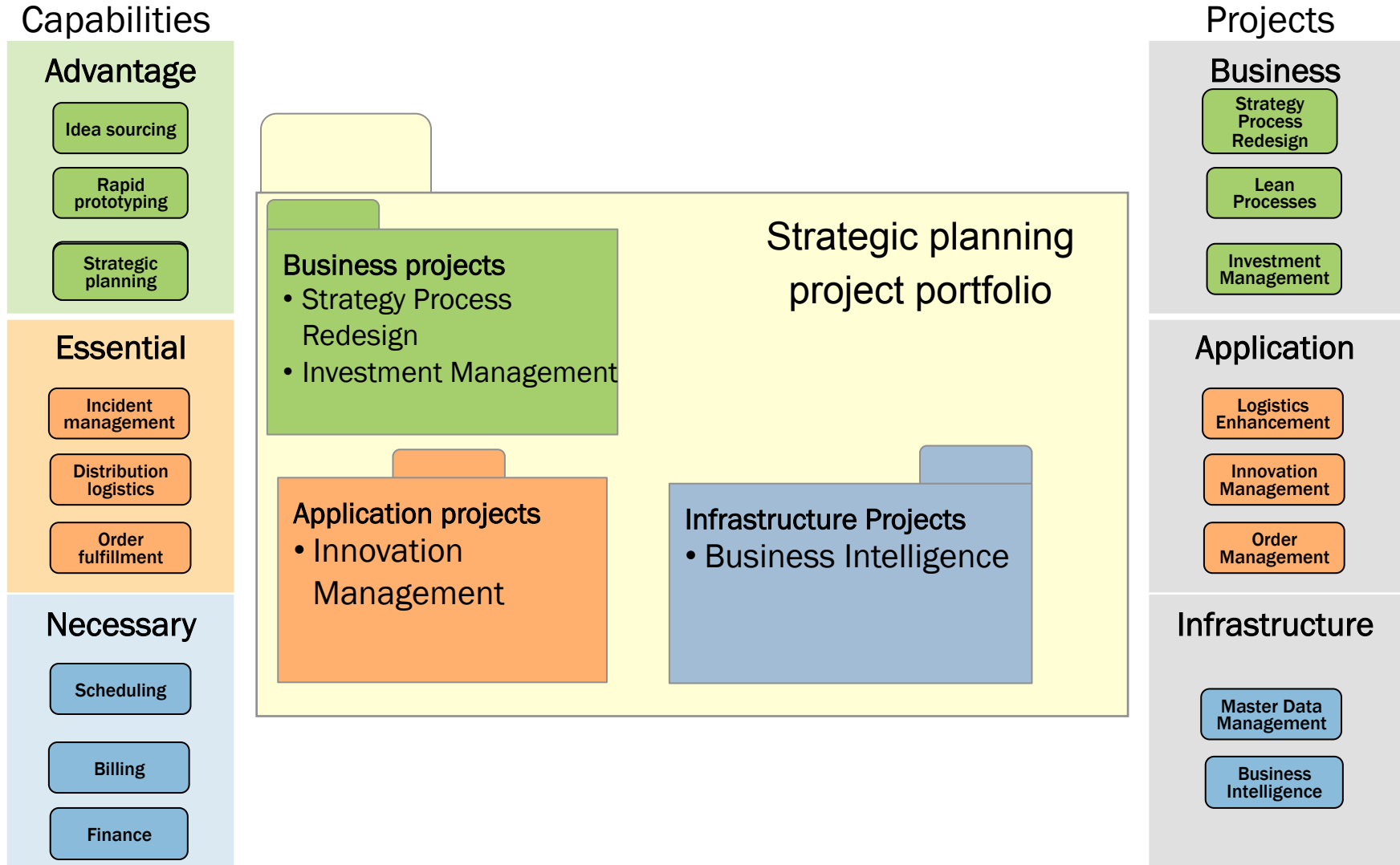
Infrastructure

Master Data
Management

Business
Intelligence

Example 4d: Project portfolio assessment

ORGANIZE PROJECTS INTO CAPABILITY ENHANCEMENT PORTFOLIOS



Example 5: Application portfolio assessment

IDENTIFY THE TOTAL COST OF CAPABILITY SUPPORT AND PORTFOLIO HEALTH

Capabilities

Advantage

Idea sourcing

Rapid prototyping

Strategic planning

Essential

Incident management

Distribution logistics

Order fulfillment

Necessary

Scheduling

Billing

Finance

Applications

Rapid Prototyping Application Assessment

Cost: \$2,000,000
FTEs: 5

Specification Manager

Blueprint Analyzer

CAD-CAM

- ✓ Complexity
- ✓ Currency
- ✓ Stability
- ✓ Skills
- ✓ Redundancy

Does the level of dollar investment make sense?

Does the level of people investment make sense?

Scheduling Application Assessment

Cost: \$1,500,000
FTEs: 7

Scheduler

Schedule Planner

Plan-IT

Workflow Builder

Route Designer

- ✗ Complexity
- ? Currency
- ✓ Stability
- ✓ Skills
- ✗ Redundancy

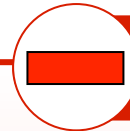
Example 6: Small organization assessment

USE SWOT ANALYSIS TO IDENTIFY CAPABILITY DEVELOPMENT OPPORTUNITIES



STRENGTHS

- Strategy clarification and articulation
- Investment prioritization
- Technical assessment



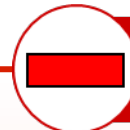
WEAKNESSES

- Strategy development
- Organizational assessment



OPPORTUNITIES

- Strategy development
- Opportunity analysis

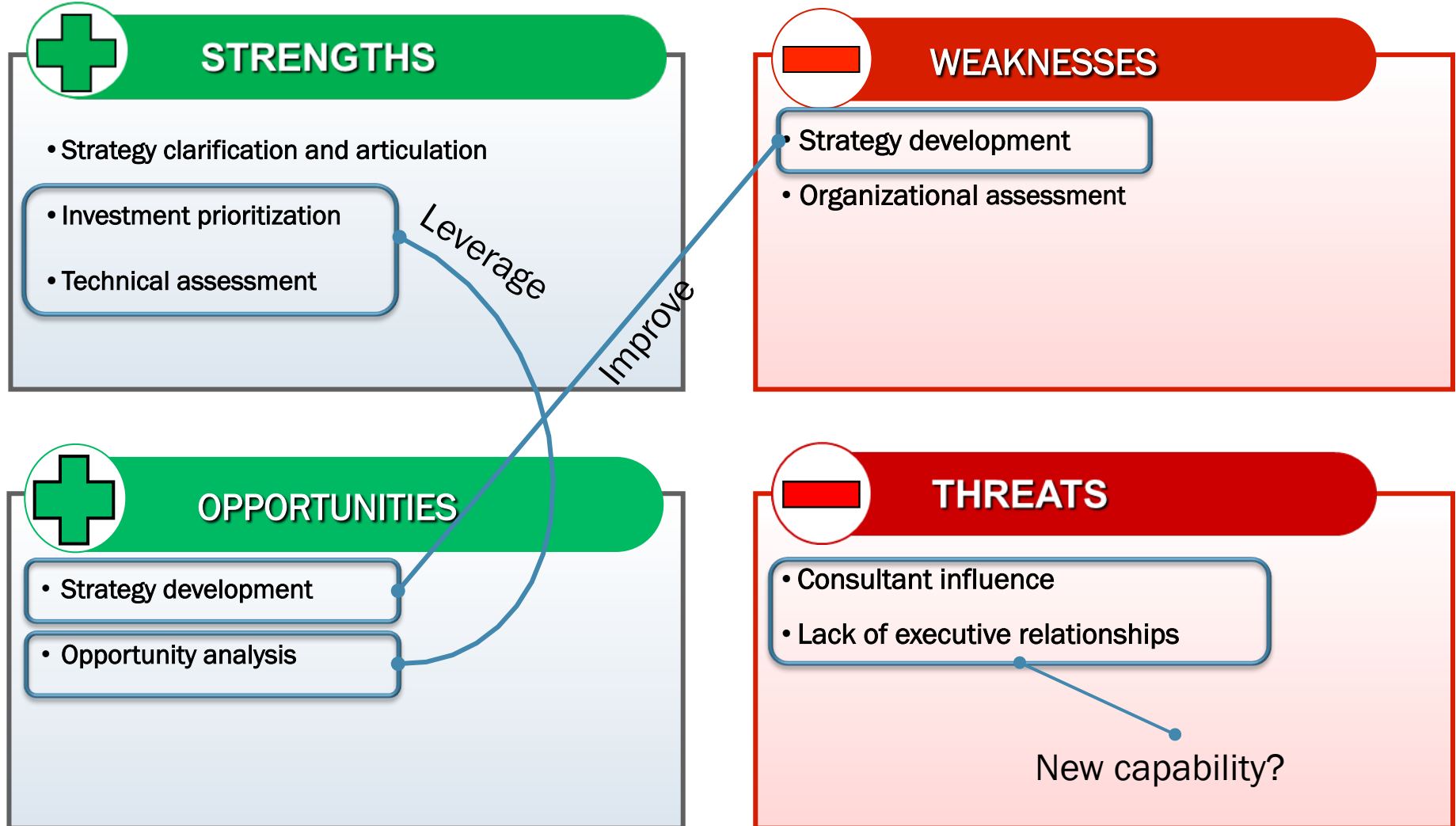


THREATS

- Consultant influence
- Lack of executive relationships

Example 6: Capability SWOT

FOR SMALL ORGANIZATIONS IDENTIFY CAPABILITY DEVELOPMENT OPPORTUNITIES



Example 6: Capability SWOT

PRIORITIZE ORGANIZATIONAL IMPROVEMENTS

Capability	Action	Priority
Marketing & relationship development	Create	1
Strategy Development	Improve	2
Investment prioritization	Expand	3
Technical assessment	Expand	3
Strategy clarification and articulation	Maintain	4
Organizational assessment	Identify gaps	5

The bottom line

- **Capability models resonate with executives**
- **Capability models create the foundation for multiple types of analysis**
- **Capabilities can provide both strategic and operational investment guidance**
- **Capabilities can be easily and subjectively assessed**
- **Once assessed, capability analysis can be applied to a wide variety of problems**

Stay in touch

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Questions and discussion

QUESTIONS ?

A large green swoosh graphic that curves around the central text box, resembling a stylized 'C' or a pair of parentheses.

THANK YOU